AI EQUITY RESEARCH

April 19, 2026

Apple Inc.

AAPL • Technology • Consumer Electronics

RATING
SELL
MEDIUM conviction

CURRENT PRICE	FAIR VALUE	UPSIDE / DOWNSIDE	MARKET CAP
$270.23	$153.16 Discounted Cash Flow (Free Cash Flow to Firm) — 2-stage model	-43.3%	$3,967.3B

Summary — Apple's stock is overvalued based on the DCF model and may experience significant downside due to various risks, warranting a SELL rating with medium conviction.

WACC / COST OF EQUITY	6.85%	EV / EBITDA	26.1x
ENTERPRISE VALUE	$2,303.3B	P / E	34.2x
VALUATION MODEL	DCF_FCFF	P / S	n/a

Investment Thesis

Bull Case

Apple's stock could be driven significantly higher if the company's revenue growth exceeds the projected levels, specifically the projected revenue of $404,506,575,452.42, $412,685,674,451.22, $439,202,841,089.14, $461,676,884,968.03, and $479,259,867,264.91 over the next five years.

- Revenue growth exceeding projected levels
- Expansion of operating margin beyond 0.3197
- Increase in free cash flow to firm (FCFF) beyond projected $94,075,818,429.84

Base Case

The base case scenario assumes that Apple's stock will trade at its fair value of $153.16, representing a downside of 43.32% from the current price of $270.23, based on the discounted cash flow (DCF) model using free cash flow to firm (FCFF) with a WACC of 0.0685.

The fair value assessment is based on the DCF model with a terminal value of $2,625,561,800,569.59 and an enterprise value of $2,303,278,030,919.13.

Bear Case

The bear case scenario assumes that Apple's stock could experience significant downside due to risks such as decreased revenue growth, compression of operating margins, and increased competition in the consumer electronics market.

- Decreased revenue growth
- Compression of operating margins
- Increased competition in the consumer electronics market

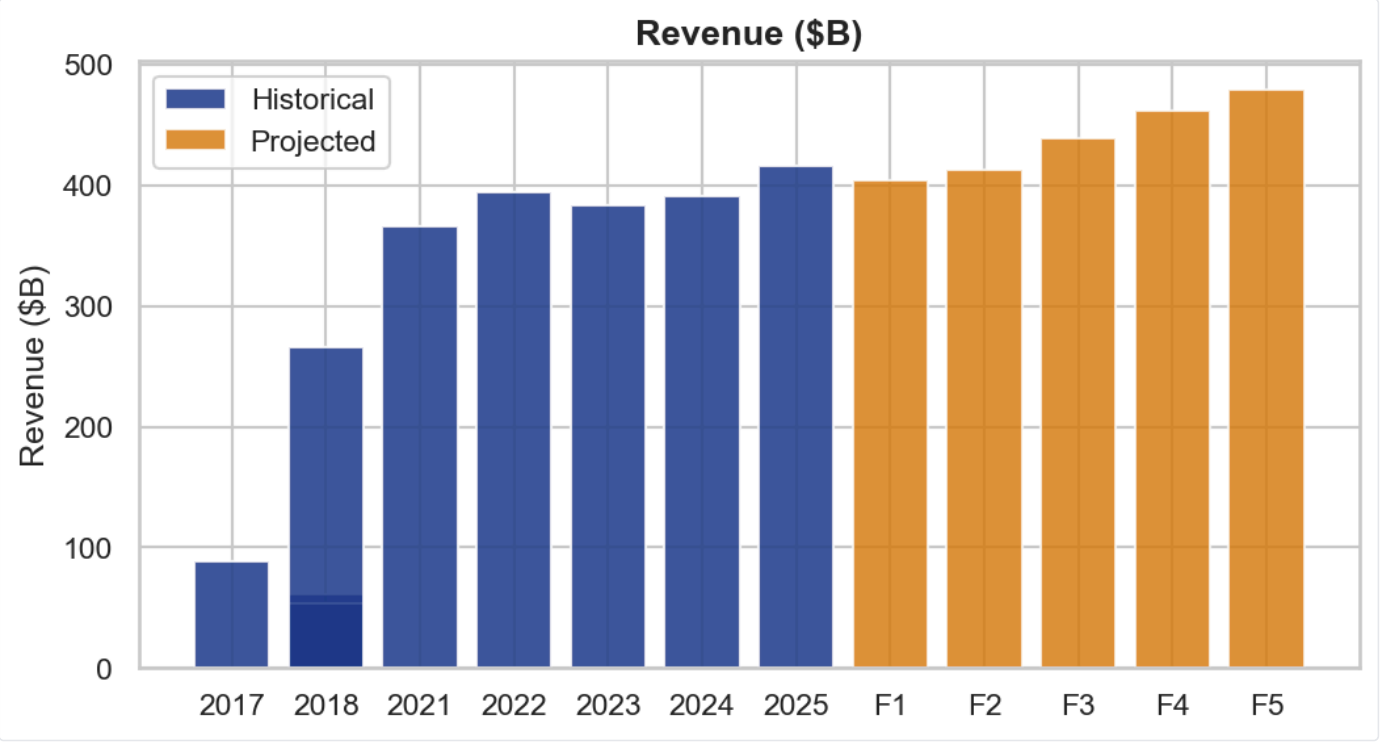
Key Catalysts

- Earnings reports
- Product launches
- Competition from other tech companies

Financial Analysis

Historical Financials (SEC EDGAR — last 10 periods)

Period End	Revenue	Gross Profit	Operating Income	Net Income	CFO	CapEx	Equity	EPS
2025-09-27	$416.2B	$195.2B	$133.1B	$112.0B	n/a	$12.7B	$73.7B	$7.49
2024-09-28	$391.0B	$180.7B	$123.2B	$93.7B	n/a	$9.4B	$57.0B	$6.11
2023-09-30	$383.3B	$169.1B	$114.3B	$97.0B	n/a	$11.0B	$62.1B	$6.16
2022-09-24	$394.3B	$170.8B	$119.4B	$99.8B	n/a	$10.7B	$50.7B	$6.15
2021-09-25	$365.8B	$152.8B	$108.9B	$94.7B	n/a	$11.1B	n/a	$5.67
2020-09-26	n/a	n/a	n/a	n/a	n/a	n/a	n/a	—
2018-09-29	$265.6B	n/a	n/a	n/a	n/a	n/a	n/a	—
2018-06-30	$53.3B	n/a	n/a	n/a	n/a	n/a	n/a	—
2018-03-31	$61.1B	n/a	n/a	n/a	n/a	n/a	n/a	—
2017-12-30	$88.3B	n/a	n/a	n/a	n/a	n/a	n/a	—



Quarterly Trend (last 12 quarters)

Period End	Revenue	Operating Income	Net Income	CFO
2025-12-27	$143.8B	$50.9B	$42.1B	—
2025-09-27	$416.2B	$133.1B	$112.0B	—
2025-06-28	$313.7B	$100.6B	$84.5B	—
2025-03-29	$219.7B	$72.4B	$61.1B	—
2024-12-28	$124.3B	$42.8B	$36.3B	—
2024-09-28	$391.0B	$123.2B	$93.7B	—
2024-06-29	$296.1B	$93.6B	$79.0B	—
2018-09-29	$265.6B	—	—	—

Key Ratios (most recent year)

Category	Metric	Value
Profitability	Gross Margin	46.91%
Profitability	Operating Margin	31.97%
Profitability	Net Margin	26.92%
Profitability	Cost Ratio	53.09%
Returns	Roe	1.52x
Returns	Roa	31.18%
Returns	Roic	87.4%
Leverage	Debt To Equity	1.23x
Leverage	Debt To Assets	25.24%
Leverage	Debt To Ebitda	—
Leverage	Equity Multiplier	4.87x
Leverage	Interest Coverage	33.83x
Efficiency	Asset Turnover	1.16x
Efficiency	Receivables Turnover	—
Efficiency	Days Sales Outstanding	—
Efficiency	Inventory Turnover	38.64x
Valuation	Market Cap	$3,971.8B
Valuation	Enterprise Value	$4,026.6B
Valuation	Pe Ratio	36.08x
Valuation	Ev To Revenue	9.68x
Valuation	Ev To Ebitda	—
Valuation	Price To Book	53.87x
Valuation	Price To Sales	9.54x
Valuation	Earnings Yield	2.77%
Valuation	Fcf Yield	—

Valuation — Discounted Cash Flow (Free Cash Flow to Firm) — 2-stage model

FAIR VALUE

$153.16

-43.3% vs current

DCF — FCFF 2-Stage

ENTERPRISE VALUE	$2,303.3B	WACC	6.85%
EQUITY VALUE	$2,248.5B	TERMINAL VALUE (UNDISC.)	$2,625.6B

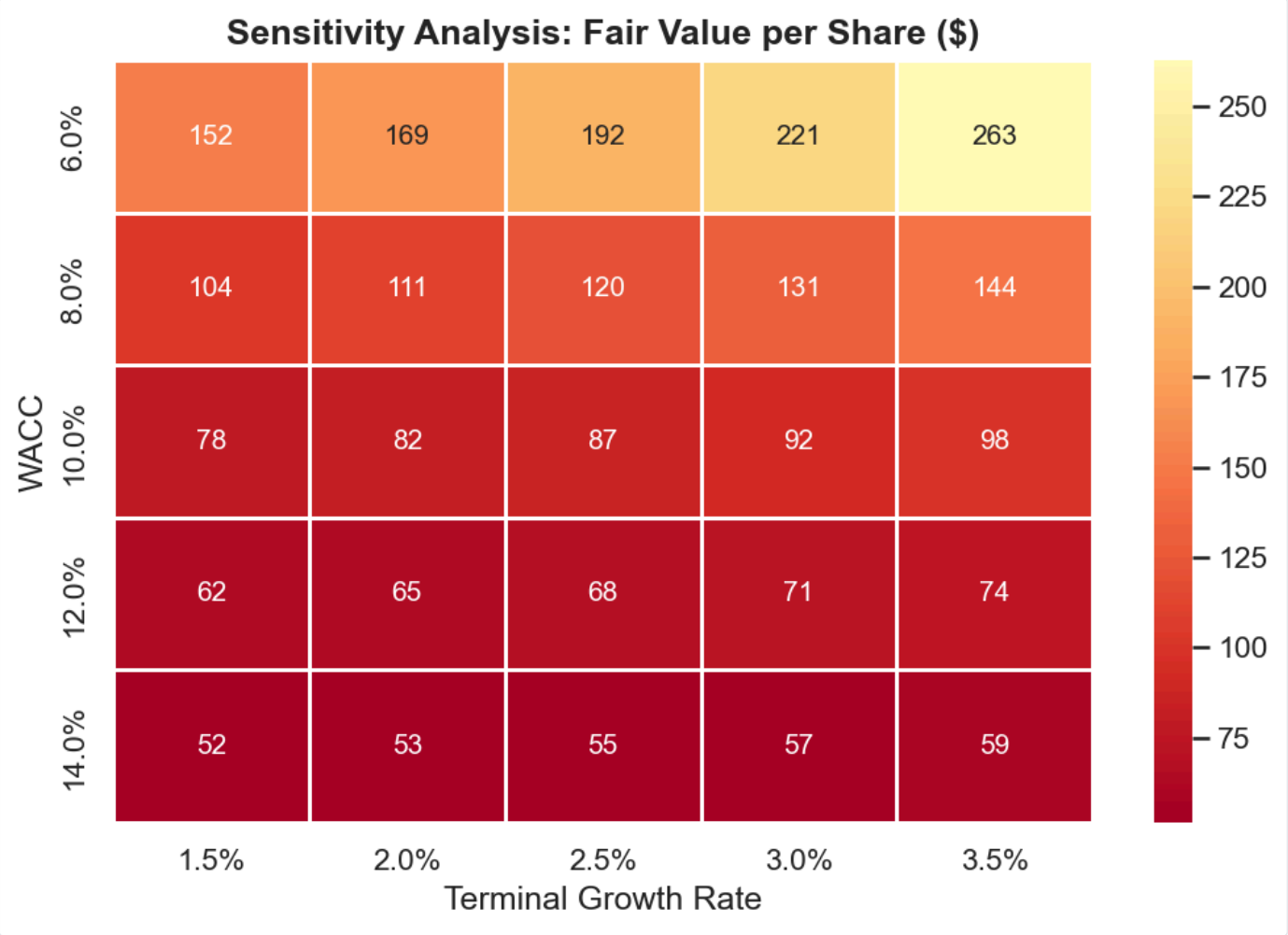
REVENUE PROJECTION ($B)

Year 1	Year 2	Year 3	Year 4	Year 5
404.5	412.7	439.2	461.7	479.3

PROJECTED FCFF ($B)

Year 1	Year 2	Year 3	Year 4	Year 5
94.08	95.98	102.15	107.37	111.46

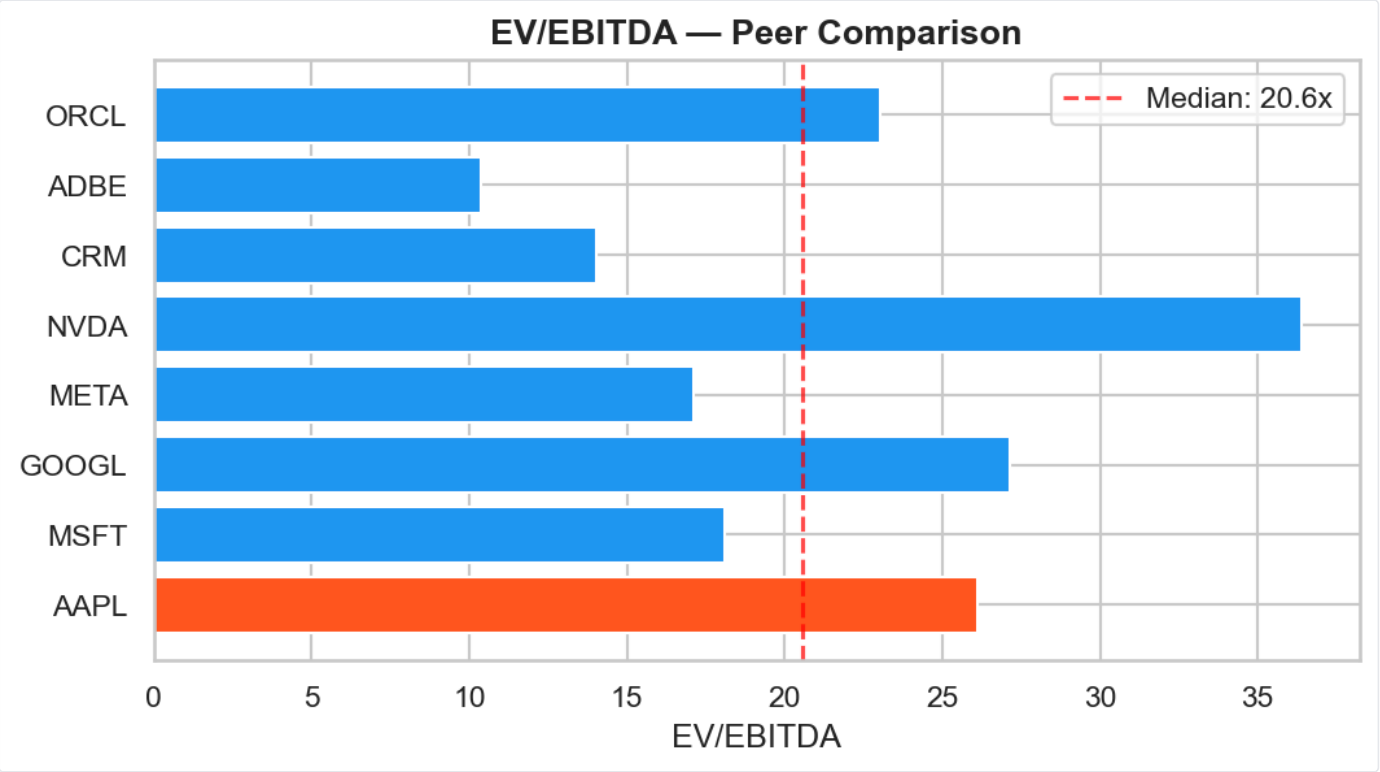
SENSITIVITY — WACC × TERMINAL GROWTH



COMPARABLE IMPLIED VALUES

Method	Implied Fair Value
Ev Revenue Implied	$275.77
Pe Implied	$223.70
Pb Implied	$43.59

Peer Comparison & Industry Context



Peer Set

Ticker	EV/EBITDA	P/E	P/S
MSFT	18.1x	26.5x	—
GOOGL	27.1x	31.6x	—
META	17.1x	29.3x	—
NVDA	36.4x	41.2x	—
CRM	14.0x	23.4x	—
ADBE	10.4x	14.2x	—
ORCL	23.0x	31.4x	—

Competitive Positioning

AAPL is positioned relatively high in terms of valuation multiples compared to its peers, with its EV to Revenue, EV to EBITDA, PE Ratio, Forward PE, and Price to Book ratios being among the highest.

STRENGTHS

- High market capitalization
- High price to book ratio

WEAKNESSES

- Lower revenue growth compared to some peers like NVDA
- Not the highest profit margin among peers

Shareholder Meeting & Material Events

Sourced from SEC EDGAR filings (DEF 14A proxy statements and Form 8-K).

Shareholder Meeting (DEF 14A)

Filed Jan 08, 2026 — Accession 0001308179-26-000008

MEETING DATE	**2026-02-24**
EXECUTIVE COMP.	**Approved by shareholders**
GOVERNANCE	**Auditor ratification, shareholder proposal not approved**

VOTING PROPOSALS

- Election of Directors
- Ratification of Independent Registered Public Accounting Firm
- Advisory Vote to Approve Executive Compensation
- Approval of Apple Inc. Non-Employee Director Stock Plan
- Shareholder Proposal

DIRECTOR NOMINEES

Wanda Austin, Tim Cook, Alex Gorsky, Andrea Jung, Art Levinson, Monica Lozano, Ron Sugar, Sue Wagner

Recent Material Events (Form 8-K)

Date	Disclosure
2026-02-24	Annual Meeting results
2026-01-29	Unknown
2026-01-02	Unknown
2025-12-05	Unknown
2025-10-30	Unknown

Investor Takeaways

- Annual meeting results
- Executive compensation approved
- Shareholder proposal not approved

Risks

Overall Risk Rating: MEDIUM

Apple Inc. faces moderate financial, operational, and market risks, primarily related to its high WACC, operating margin pressure, and market sensitivity. Effective risk mitigation strategies can help minimize these risks.

Financial Risks

Risk	Severity	Likelihood
High WACC (0.0685) may indicate high cost of capital, potentially affecting profitability and investment decisions	**MEDIUM**	MEDIUM
Large enterprise value ($2,303,278,030,919.13) may pose liquidity risks in case of sudden need for funds	**LOW**	LOW

Operational Risks

Risk	Severity	Likelihood
Operating margin (0.3197) may be under pressure, affecting profitability	**MEDIUM**	MEDIUM
Projected revenue growth may not materialize, impacting cash flows	**MEDIUM**	MEDIUM

Market Risks

Risk	Severity	Likelihood
Beta (1.109) indicates higher market sensitivity, potentially affecting stock price	**MEDIUM**	MEDIUM

Macro Risks

Risk	Severity	Likelihood
Tax rate (0.21) may change, affecting net income and cash flows	**LOW**	LOW

Appendix — Assumptions, Sources, QC

Valuation Assumptions

Parameter	Value
revenue base	$416.2B
revenue growth rates	[-0.028, 0.0202, 0.0643]
operating margin	31.97%
tax rate	21.0%
capex to revenue	5.0%
depreciation to revenue	4.0%
nwc change to revenue	1.0%
risk free rate	4.32%
beta	1.109
market risk premium	5.5%
cost of debt	5.0%
debt ratio	55.15%
terminal growth rate	2.5%
terminal method	gordon
exit ev ebitda multiple	15.0
shares outstanding	$14.7B
net debt	$54.7B
projection years	5

SEC Filings Referenced

Form	Filed	Accession
10-K	2025-10-31	0000320193-25-000079
10-K	2024-11-01	0000320193-24-000123
10-K	2023-11-03	0000320193-23-000106
DEF 14A	2026-01-08	0001308179-26-000008
DEF 14A	2025-01-10	0001308179-25-000008
8-K	2026-02-24	0001140361-26-006577
8-K	2026-01-29	0000320193-26-000005
8-K	2026-01-02	0001140361-26-000199
8-K	2025-12-05	0001140361-25-044561
8-K	2025-10-30	0000320193-25-000077

Automated QC Check

FLAGS FOUND — The valuation model appears to be overvaluing the company, with an implied fair value that is significantly higher than the current market cap. Additionally, the growth assumptions may be overly optimistic. However, the WACC is within a reasonable range, and the terminal value is not an extreme outlier.

Issue	Severity	Detail
Implied fair value is significantly higher than the current market cap.	HIGH	The implied fair value is $275.77, while the current market cap is $397.18 billion. This suggests that the model is overvaluing the company.
Growth assumptions may be overly optimistic.	MEDIUM	The projected revenue growth rate is consistently high, with a maximum growth rate of 17.4% in the last year. This may be unrealistic for a company of Apple's size and industry.
WACC is slightly above the typical range.	LOW	The WACC is 6.85%, which is slightly above the typical range of 6-14%. However, this is not a major concern.
Terminal value is a significant portion of total value.	MEDIUM	The terminal value is $26.26 billion, which is approximately 65% of the total value. While this is not an extreme outlier, it may indicate that the model is relying too heavily on the terminal value.
Valuation multiples are not unreasonable for the sector.	LOW	The EV/Revenue multiple is 9.68, which is slightly above the sector average. However, this is not a major concern.

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